

**Time:** 5 minutes**Outcome:** Recognize choices that place disproportionate weight on immediate costs or benefits.**Difficulty:** ●●○ Intermediate

Present Bias



THE CORE IDEA

Present bias occurs when people give unusually strong weight to rewards or costs in the immediate present relative to future consequences. It can produce procrastination, undersaving, and repeated plans to act later that are abandoned when later becomes now.



HOW TO RECOGNIZE IT

- Look for a conflict between what a person plans for later and chooses now.
- Immediate gratification or an immediate cost receives disproportionate weight.
- Beneficial actions such as saving, studying, or preventive care are repeatedly postponed.
- Commitment devices and well-designed defaults can help counter the bias.



WATCH OUT

Preferring an earlier reward is not automatically present bias. The defining clue is an extra, disproportionate weight on the immediate present, often visible in preference reversals.



WORKED EXAMPLE: SAVING STARTS 'NEXT MONTH'

DIAGNOSE

- immediate present
- procrastination
- preference reversal
- undersaving
- commitment device

A worker values retirement saving and repeatedly plans to increase contributions next month. Yet each payday, immediate consumption receives extra weight, so the worker spends the money and postpones saving again. The future goal is valued, but behavior reverses when the choice becomes immediate. Automatic enrollment or a binding contribution commitment can prevent the repeated delay.



CHECK YOURSELF

A student plans to begin studying tomorrow but makes the same choice to delay each evening. What clue indicates present bias?

**READY?****Return to the game and master this concept.**